



PROS AND CONS OF CEO AS CHAIRMAN

Pros

- **Strong, central leadership** Decisions hold fewer conflicts.
- **Efficiency** CEO/chairman can implement board decisions swiftly.
- **Expertise** CEO has company and industry knowledge (a CEO may become chairman after retirement).
- **Balance of power** Established hierarchy between CEO/chairman and other directors reduces risk of conflict on the board.

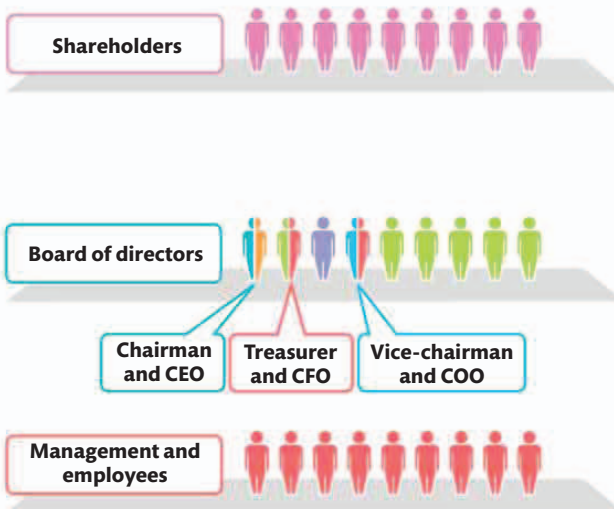
Cons

- **Lack of transparency** Conflicts of interest/corruption are more likely.
- **Reduced objectivity** Board headed by CEO is unable to monitor CEO's work objectively.
- **Higher remuneration** Combined role generally commands higher pay than two separate individuals.
- **Mentoring** Chairman who is also CEO cannot offer independent mentoring and support for the role.

44%
of S&P 500-listed companies had distinct CEO and chairman roles in 2012—up from 21% in 2001

Senior management as directors

A structure in which senior managers also sit on the board. The chief financial officer (CFO) is appointed board treasurer and the chief operations officer (COO) is vice-chairman. In some countries (Germany, for example), employees must be included on the board by law.



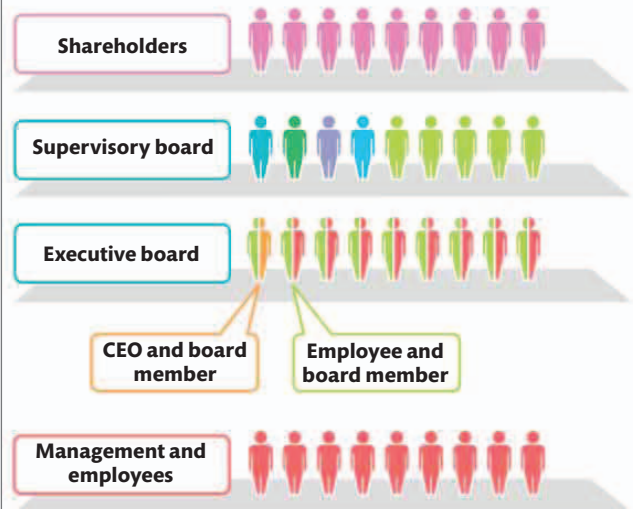
Vice-chairman



Other directors

Two-tier board

An arrangement that is made up of separate supervisory and executive boards. The supervisory board is composed of outside directors, led by a chairman. The executive board comprises senior managers, including the CEO. The two boards always meet separately.



CEO



Management and employees